Earnings update

Freeport-McMoRan Q3 2026: price carries the beat, volumes carry the case

27 October 2026 · Syz Research

> **"The progress achieved during 2026 sets us up for growing volumes and improving financial performance as we look ahead to 2027 and 2028."**
>
> Kathleen Quirk, President and Chief Executive Officer, Q3 2026 earnings call, 27 October 2026

Freeport-McMoRan mines copper, gold and molybdenum in the US, Peru, Chile and Indonesia (Grasberg). It expects about 3.0 billion pounds of copper sales in 2026. NYSE-listed, market value around USD 95bn.

Key takeaways

Beat Adjusted EPS USD 0.88, 10% above consensus; revenue USD 7.55bn, up 8% on copper at USD 6.54/lb.

Reaction Shares up 1.6% intraday on 27 October, muted: we read trimmed volumes and higher capex as the offset.

Watch 2026 copper sales trimmed about 2% to 3.0bn lb and 2027 about 2.5%; 2027 capex up USD 0.4bn.

Valuation 16.3x forward earnings, 12% below the 2021 to 2026 average, with consensus EPS up 19% since July.

Adjusted EPS	Revenue	Unit net cash cost	2026 copper sales guide
USD 0.88	**USD 7.55bn**	**USD 2.07/lb**	**3.0bn lb**
+10.0% vs. consensus	+2.6% vs. consensus	3.5% above July estimate	About 2% below July

What the quarter means for the investment case

Adjusted earnings per share beat consensus by 10% and revenue by 2.6%, and the shares rose 1.6% intraday on 27 October. The beat came from metal prices, not volumes: copper sales fell to 749 million pounds from 977 million a year ago, as Grasberg, the Indonesian mine recovering from a mud rush, ran at 67% of capacity.

Chart 1 · FCX: Q3 2026 vs. consensus and vs. the July guidance

Favourable (+) / unfavourable (–) in % · cost and capex unfavourable when above estimate · consensus EPS USD 0.80, revenue USD 7.36bn

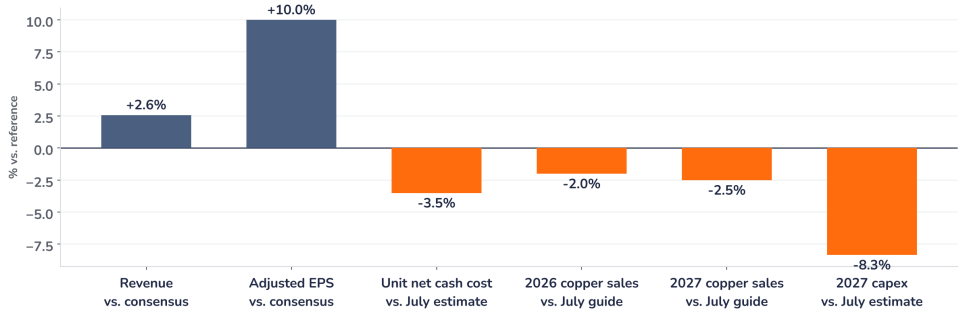


Chart 1 splits the release in two. Everything measured against consensus beat; everything measured against the July plan moved the wrong way: unit cash costs 3.5% above estimate, 2026 and 2027 copper sales trimmed by about 2% and 2.5%, and 2027 capital spending raised by USD 0.4bn. Price flatters the quarter; execution sets the multiple.

Base case and implications

We stay constructive on Freeport and would add on copper-driven weakness. We underwrite volume-led earnings: copper sales up more than 20% in 2027 to about 3.7 billion pounds and 10% more in 2028, with Grasberg at 80% of capacity by mid-2027. At USD 6.50 copper, management's sensitivities imply roughly USD 17.5bn of annual EBITDA in 2027 to 2028. The multiple sits 12% below its 2021 to 2026 average. The next tests are the Bagdad investment decision this quarter and fourth-quarter copper sales of 875 million pounds.

What would strengthen our view

Fourth-quarter copper sales at or above 875 million pounds; Grasberg above 70% of capacity at the Q4 release; Bagdad approved at about USD 4.5bn; 2027 field results that support the 800 million pound leach aspiration.

What would change our view

Another cut to 2027 copper sales after today's 2.5%; unit costs above USD 2.00 per pound into 2027; copper below USD 5.00, where EBITDA falls to about USD 12bn; delay to the Indonesian operating extension beyond 2041.

Beyond the key takeaways

Results: price did the work, volumes lagged

Revenue rose 8% to USD 7.55bn and adjusted EBITDA 14% to USD 3.2bn, while adjusted net income nearly doubled to USD 1.3bn, or USD 0.88 per share from USD 0.50. The driver was price: realised copper averaged USD 6.54 per pound and gold USD 4,273 per ounce, up from USD 3,539, which offset copper sales 23% lower at 749 million pounds and gold sales of only 105,000 ounces, as some shipments slipped into the fourth quarter. Unit net cash costs of USD 2.07 per pound reflect lower gold credits, diesel and sulphuric acid. Grasberg idle-facility charges of about USD 240m stay outside unit costs until 2027. Operating cash flow was USD 2.0bn.

A 10% earnings beat earned a 1.6% intraday rise on 27 October: aligned in sign, small in size. Confirmed drivers: 2026 copper sales were cut by about 2% on weather and grade shortfalls in the US and Chile, the 2027 plan by about 2.5% on mine-plan updates, and 2027 capital spending rose by USD 0.4bn. Volumes were previewed on 2 October. We think the market had largely priced the beat through spot copper, up 16% this year, and treated the guidance trims as the new information. The 11.5% fall in the two weeks before the release is consistent with that reading.

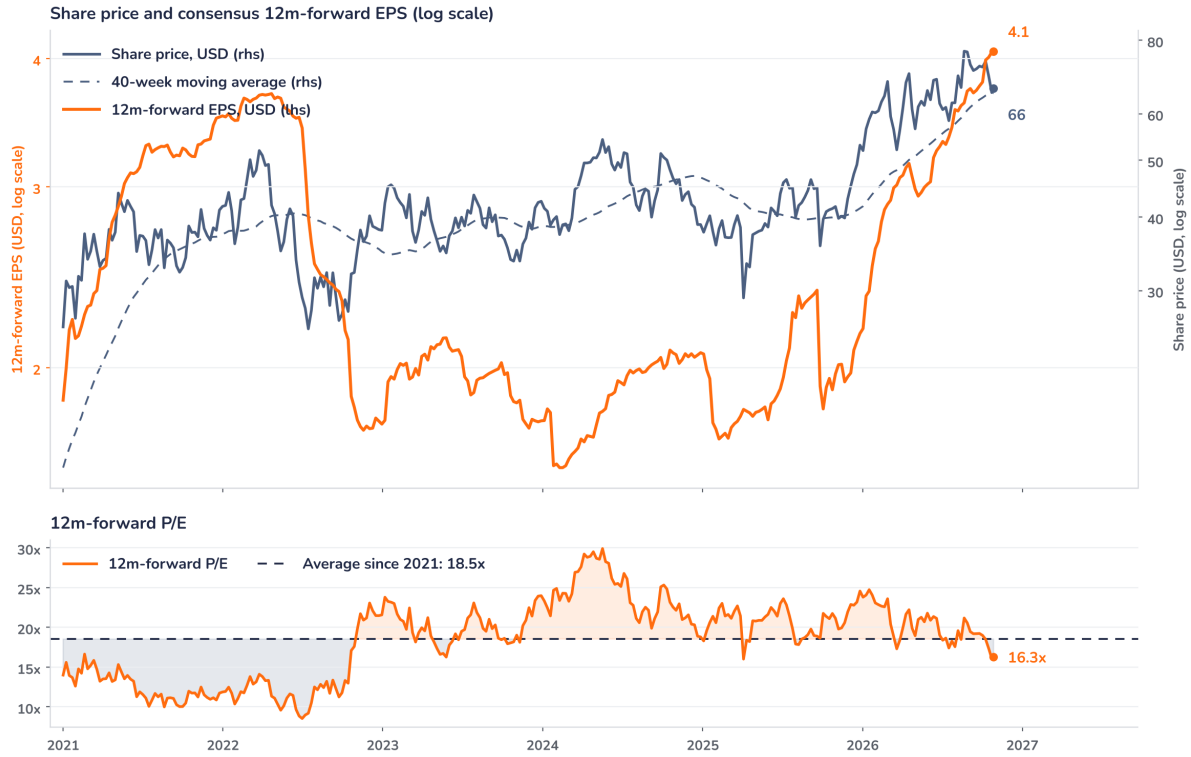
Outlook: 2027 growth intact on a lower base

Management sees the fourth quarter as the year's strongest, with copper sales up 17% from the third quarter to 875 million pounds and gold sales nearly tripling. For 2027 it guides copper sales up more than 20% and gold more than 50%, then a further 10% and 20% in 2028; Grasberg copper rises from about 0.7 billion pounds this year to 1.2 billion. The 2026 unit cost guide of USD 1.90 per pound was kept. Capital spending rises to USD 4.4bn in 2026 and USD 5.2bn in 2027, excluding the USD 4.5bn Bagdad expansion, which would add 200 to 250 million pounds a year about 3.5 years after approval.

Valuation: earnings have outrun the price

Chart 2 · FCX: share price vs. consensus earnings and valuation

Weekly since Jan 2021 (earlier trough-earnings P/E above 100x) · Bloomberg 12m-forward consensus · 40-week MA · log scale · last price intraday 27 Oct



The share price is up 60% over 12 months, but consensus 12m-forward EPS has risen 114% to USD 4.07. Since the July results, EPS is up 19% and the price 6%. The multiple has compressed from 21.2x at the August peak to 16.3x, 12% below its 18.5x average since 2021 and below the one-year average of 20.5x. The price sits 1.8% above its 40-week moving average of USD 65.05. At today's price, consensus EPS would have to fall 12% to take the multiple back to its average; our base case points the other way.

SYZ Source: Syz Research, Bloomberg, company filings, Freeport-McMoRan Q3 2026 results release and earnings call of 27 October 2026, analyst research notes of 2 October 2026

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